

Georgia will continue its strategic drift over the next 18 months, maintaining transactional relationships with the US, Russia, and the EU without firmly anchoring to any single camp – until a domestic political crisis or external shock forces a definitive choice.

75%

PROBABILITY

Target: December 2027

Confidence: Medium

ANALYSIS

POLITICAL

Georgian Dream's regime survival doctrine is the dominant driver of Georgia's foreign policy. The party has no consistent ideological orientation – it pursues whatever engagement serves its immediate hold on power. The attempted US reset (Rubio call, Trump Tower Tbilisi, Coulter visit) is not a genuine westward pivot but a transactional gambit, as CEPA's analysis makes clear. Simultaneously, GD maintains functional ties with Moscow, avoids provoking Russia on the occupied territories, and suppresses domestic dissent. The EU remains deeply skeptical, having linked accession progress to democratic reforms that GD has no intention of implementing. The result is a slow-motion strategic drift: Georgia is not pivoting to Russia, but it is actively moving away from the West. The 519+ days of continuous protests reflect a society deeply divided over this trajectory. The key political risk is that GD's transactional approach eventually satisfies no one – the West sees Georgia as too authoritarian, Russia sees it as too independent, and Georgian society sees the government as illegitimate.

ECONOMIC

Georgia's economy is performing strongly (10.7% GDP growth in March 2026, 9.1% Q1 average), driven by its role as a transit hub and growth in ICT, construction, and logistics. The Middle Corridor is the centerpiece of Georgia's economic value proposition – the Baku-Tbilisi-Kars railway reopened June 2, and the route has gained strategic importance after Iran-related disruptions to the Strait of Hormuz. However, economic growth is not translating into political legitimacy for GD. The benefits of transit-hub status accrue disproportionately to elites connected to the ruling party. Moreover, Georgia's economic model is vulnerable to geopolitical shifts: if the US reset fails or the EU permanently closes the accession path, FDI and growth could slow. The Anaklia Deep Sea Port project (Chinese-financed) illustrates the tension – it could boost Georgia's transit capacity but would deepen Chinese economic influence, alarming Washington.

MILITARY

Russia's occupation of 20% of Georgian territory remains the defining military fact. GD has deliberately avoided any move that could be construed as provocative by Moscow – no NATO exercises, no military cooperation with Ukraine, no rhetoric about reintegration. This caution is driven by the lesson of 2008 and the fear of becoming "a second Ukraine." The military dimension of Georgia's drift is thus one of deliberate demilitarization of the Western alignment. Georgia's armed forces, once being trained and equipped for NATO interoperability, are now effectively frozen in their development. The US military relationship is minimal. Meanwhile, Russia maintains significant forces in Abkhazia and South Ossetia and continues "creeping borderization" – slowly advancing the occupation line deeper into Georgian-controlled territory. The military balance heavily favors Russia, and GD knows it.

TECHNOLOGICAL

Georgia's technology sector is one of its few genuine success stories, with a growing ICT ecosystem and increasing role as a regional tech hub. However, the technological dimension of Georgia's geopolitical positioning is increasingly complicated. Chinese tech investment (including potential 5G infrastructure, surveillance technology, and the Anaklia port's digital systems) raises concerns in Washington about data security and Chinese influence. The US is likely to push back against Chinese tech penetration in Georgia as part of any reset. Meanwhile, EU digital standards and data protection requirements (GDPR alignment) are part of the accession process that Georgia has suspended. Georgia's tech sector thus sits at the intersection of US-China-EU competition, and its trajectory will depend on which direction Georgia ultimately tilts.